

Consumer Protection Act, 2018

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Consumer Protection Act, 2075".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act, -

(a) "Court" means the Consumer Court pursuant to Section 41.

(b) "Unfair trade or business practice" means any activity pursuant to Section 16.

(c) "Production" means the process of making, preparing, processing, converting, mixing, packaging or re-packaging, assembling, or labeling goods, or any or all processes adopted in relation thereto.

(d) "Consumer" means a person or entity who consumes or uses any goods or services.

(e) "Consumer Organization" means an organization established according to the prevailing law with the objective of protecting and promoting the rights and interests of consumers.

(f) "Central Monitoring Committee" means the Central Market Monitoring Committee pursuant to Section 25.

(g) "Substandard Goods" means consumable goods which have or are in any of the following conditions:

(1) Goods of lower quality than those mentioned on the label affixed pursuant to Section 6, or the quantity of necessary elements or substances required in such goods is reduced, or adulterated with any other substance,

(2) Goods prepared by rotting, decaying, mixing filth or pesticides, or using any chemical, color, or fragrance harmful to human health so as to be injurious to human health,

(3) Goods made from any diseased or pathogenic animal, bird, or harmful plant, in whole or in part,

(4) Goods produced, transported, stored, warehoused, or sold without meeting the prescribed standards,

(5) Goods whose quality, if prescribed, is not as per that standard, and if not prescribed, is not of the quality as stated by the producer,

(6) Goods having a quality less than the minimum or more than the maximum quality, if prescribed, under this Act or the Rules made under this Act.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules made under this Act.

(i) "Inspector" means an Inspector appointed or designated pursuant to Section 32.

(j) "Council" means the Consumer Protection Council to be formed pursuant to subsection (1) of Section 22.

(k) "Laboratory" means a body recognized by the Government of Nepal, established for the purpose of testing

the purity, completeness, or quality of consumable goods.

(l) "Ministry" means the Ministry of Industry, Commerce and Supplies of the Government of Nepal.

(m) "Label" means a tag, sign, picture, or other descriptive matter written, printed, lithographed, marked, embossed, contained, or otherwise shown on the goods or the container containing the goods or on such goods.

(n) "Goods" means a substance made from goods consumed or used by a consumer or from a mixture of goods that does not cause harm, damage, or any kind of negative effect (side effect) to health, and the term also denotes the raw materials, colors, fragrances, or chemicals used in the manufacture of such goods.

(o) "Price of Goods" means the price fixed at the time of production, the label price, M.R.P., the price specified in the import declaration form, or the price fixed by the producer at the source.

(p) "Seller" means a person, firm, company, or entity selling or distributing goods or services.

(q) "Department" means the Department of Commerce, Supplies and Consumer Interest Protection.

(r) "Service" means electricity, drinking water, telephone, information technology, health, education and counseling, transportation, drainage, banking, or other services of a similar nature, and the term also denotes legal, medical, or engineering services.

(s) "Defective Product" means any goods or services where the minimum safety measures that an ordinary person reasonably expects from the consumption of a product are absent due to any of the following reasons:

(1) Defective design, manufacture, processing, mixing, or installation,

(2) Defective packaging, preservation, or storage,

(3) Defective presentation,

(4) Lack of adequate measures or precautions to control potential risks or dangers according to the nature of the produced goods or services,

(5) Production that differs from, or is a theft or imitation of, a product produced by a company having intellectual property rights.

Chapter-2

Provisions Relating to Consumer Protection

3. Rights of Consumers: (1) Every consumer shall have the right to obtain quality goods or services.

(2) Without prejudice to the generality of subsection (1), for the purpose of protecting the rights, interests, and concerns of consumers, every consumer shall have the following rights:

(a) Right to easy access to goods or services,

(b) Right to choose quality goods or services at a clean competitive price,

(c) Right to be informed about the price, quantity, purity, quality, etc. of goods or services,

(d) Right to obtain information from the producer, importer, or seller regarding the quantity, elements, or percentage of substances present in goods made or produced from a mixture of two or more substances,

- (e) Right to be protected from the sale and distribution of goods and services that cause harm to the human body, life, health, and property,
- (f) Right to initiate appropriate legal action against unfair trade or business practices,
- (g) Right to obtain compensation against loss or damage caused by the use of goods or services,
- (h) Right to obtain remedy or hearing from the authorized officer or body regarding the protection of consumer rights and interests,
- (i) Right to consumer education. 4.

Regulation of Goods or Services: (1) The Government of Nepal shall regularly regulate the supply, price, quality, weights and measures, labeling, advertising, etc. of goods or services to protect consumer rights. (2) While regulating pursuant to subsection (1), the Ministry shall perform the following functions: (a) Implement policies relating to the quality, pricing, and supply management of goods or services, (b) Prevent and control monopolies or unfair trade practices that adversely affect or may adversely affect consumer rights and interests, or prepare and implement action plans in that regard, (c) Continuously analyze and review the demand and supply status of goods or services consumed within the country and maintain a clean market, (d) Make necessary arrangements to prevent and control undue pricing or price increases by producers, sellers, or distributors of goods or services, (e) Facilitate the supply of food and other goods at fair prices and easily to consumers through entities wholly or partly owned by the Government of Nepal or through private firms or companies, (f) Prescribe the maximum stock quantity of goods for a specified period under special circumstances or in a particular place, (g) If there is a shortage of any food item produced within Nepal, determine a certain quantity of such food item, obtain it from the producer at a prescribed price, and sell it to the public, (h) Make necessary arrangements to regulate wholesale or retail business and generally maintain uniformity in prices, (i) Coordinate with relevant bodies to prevent artificial shortages of any goods or services and to ensure regular distribution of goods everywhere to protect consumer rights and regulate the supply system, (j) Regulate the sale and distribution system of goods and control acts of creating shortages inappropriately, black marketing, or unfair trade practices. (3) The Government of Nepal may, from time to time, make necessary policy and institutional arrangements to protect consumer rights, regulate the supply system, and control the price and quality of goods and services. (4) Arrangements made pursuant to subsection (3) shall be implemented as prescribed. 5. Quality of Goods or Services: (1) If the quality or standard of an inherent substance in any goods has not been determined, the Government of Nepal shall determine the quality standard of such goods or services after completing the procedure as prescribed. (2) The Government of Nepal shall publish a notice of the determination of the quality standard of any goods or services pursuant to subsection (1) in the Nepal Gazette. 6.

Label Required: (1) A producer shall affix a label on the goods produced by him/her. (2) The label pursuant to subsection (1) shall mention the following matters: (a) The name, address, and industry registration number of the producer, (b) In goods such as food items, medicines, and cosmetics, the mixture, ingredients of the mixture, quantity, and weight of such goods, (c) If the quality of the goods has been determined, the quality of such goods, (d) The manner of consuming the goods and the negative effects (side effects) that may arise from consuming such goods, (e) If the goods must be consumed within a certain period, that period, (f) The sale price of the goods, batch number, and date of production, (g) If the goods are electronic, hardware, electrical, mechanical, or long-lasting goods, the guarantee or warranty of such goods, the guarantee or warranty date, and other necessary matters as per the law relating to such goods, (h) In the circumstances mentioned in clause (g), the provision for providing a refund or repairing within a certain period if any defect is

found, (i) If the goods are flammable, hazardous, or easily breakable, details regarding precautions to be taken for the safety of such goods, (j) The maximum retail price inclusive of all types of taxes applicable to the goods, (k) If any procedure must be completed before using any goods, such procedure and the loss or damage that may occur from using the goods without completing such procedure, (l) Use of cautionary messages, pictures, or symbols on labels of substances harmful to human health, (m) Other matters as prescribed. (3) The matters to be mentioned on the label pursuant to subsection (2) shall be written in the Nepali or English language by the producer in the case of goods produced within Nepal, and by the importer in the case of imported goods, in a manner understandable to the general public. (4) Goods not labeled pursuant to subsection (3) shall not be imported, sold, or distributed in Nepal. (5) Notwithstanding anything contained elsewhere in this section, it shall not be necessary to mention the matters contained in this section when selling consumable goods sold openly, such as vegetables, fruits, etc. Provided that, labels shall be required on imported vegetables and fruits. Chapter-3 Liability of Parties Involved in the Market of Goods or Services 7.

Liability of Producer: (1) In addition to the liability to be fulfilled according to the prevailing law while producing goods or services, the producer shall fulfill the following liabilities: (a) Produce quality goods or services, (b) Determine the label of the goods, (c) Mention matters pursuant to Section 6 on the label, (d) Not produce defective products, (e) If it comes to knowledge that a defective product produced by him/her exists in the market, collect and destroy such goods, (f) Provide reasonable compensation for any kind of loss caused to the consumer due to the production of goods or services, (g) Not make false or misleading advertisements or publicity of goods or services, (h) Provide information to the consumer about the quantity, elements, or percentage of substances present in goods made or produced from a mixture of two or more substances, (i) Fulfill other conditions prescribed by law. (2) If, due to failure to fulfill the liability pursuant to subsection (1) or due to any defect, deficiency (defect) occurring in the course of production, manufacture, processing, design, formula, preparation, import, packaging, labeling of any goods, such goods or services cause loss or damage to the body, life, or property of any person upon consumption, the producer of such goods or services shall be held liable for such loss or damage and shall have the liability to pay compensation accordingly. Provided that, (a) The person must be the actual producer of the goods or services whose consumption caused the loss or damage, (b) The direct cause of the loss or damage must be confirmed to have resulted from the consumption or use of that specific goods or services claimed to have caused such loss or damage. 8.

Liability of Importer: (1) In addition to the liability to be fulfilled according to the law while importing goods, the importer shall fulfill the following liabilities: (a) Import goods in a manner so that the price does not exceed or differ from the source price, (b) Provide details of the goods related to the imported goods when requested by the relevant body or officer, (c) Not import goods that are not allowed to be imported according to the prevailing law, (d) Fulfill other liabilities as prescribed. (2) Notwithstanding anything contained in subsection (1), except where otherwise provided according to the quality or nature of any goods, goods that are not fit for consumption or cannot be consumed six months after the date of import, or that cannot be consumed after such period expires, shall not be imported. (3) If any person imports goods without mentioning the matters required to be mentioned on the label and such use of goods causes loss or damage to any person, the importer shall be held liable for such loss or damage and shall have the liability to pay compensation accordingly. 9. Liability of Transporter: In addition to other liabilities to be fulfilled according to the prevailing law, the transporter shall fulfill the following liabilities: (a) Transport the goods within the prescribed period according to the nature of the goods being transported, (b) Not cause deterioration in the quality of goods during transportation, (c) Fully comply with the protective measures and conditions to be observed as prescribed during transportation, (d) Provide details of the goods when requested by the relevant body or

officer, (e) Fulfill other liabilities as prescribed. 10. Liability of Warehouser: In addition to the liability to be fulfilled according to the prevailing law, the warehouser storing goods shall fulfill the following liabilities: (a) Exercise caution according to the nature of the goods while storing them, (b) Store goods by adopting prescribed protective measures so that the quality does not deteriorate according to the type or nature of the goods, and not do any act that may deteriorate the quality of the goods, (c) Not alter the label or details of goods mentioned by the producer, (d) Provide details of the goods related to the storage of goods when requested by the relevant body or officer, (e) Adopt prescribed protective measures, (f) Fulfill other liabilities as prescribed. 11.

Liability of Seller: In addition to other liabilities to be fulfilled according to the law, the seller selling goods shall fulfill the following liabilities: (a) Sell goods to consumers without discrimination, (b) Store and sell goods safely so that the quality does not deteriorate according to the type or nature of the goods, (c) Maintain a price list of goods in a manner clearly visible and understandable to the general public, (d) Provide details or stock of goods in his/her possession when requested by the relevant body or official, (e) If there is any provision for guarantee or warranty on the goods, comply with such provision, (f) Sell goods to the first-come consumer first, (g) Provide a bill or receipt after selling consumable goods, (h) Fulfill other liabilities as prescribed. 12. Liability of Service Provider: In addition to other liabilities to be fulfilled according to the law, the service provider providing services to consumers shall fulfill the following liabilities: (a) Provide services to consumers without discrimination, (b) Maintain a list of the nature of services provided by him/her and the price to be paid by the consumer for receiving such services in a place visible to all in a clearly understandable manner for the general public, (c) Provide details and documents related to the services provided by him/her when requested by the relevant body or officer, (d) Provide services to the first-come consumer first, (e) Provide a bill or receipt after receiving payment for services provided to the consumer, (f) Fulfill other liabilities as prescribed. 13. Determination of Market Levels: For the purposes of protecting consumer rights, managing the market according to market rules, and making the market clean and transparent, the market levels involved in delivering prescribed goods or services from the relevant producer or importer to the final consumer shall be as prescribed. 14.

Goods May Be Returned: (1) If any person wishes to return goods purchased from a seller due to dissatisfaction, he/she may, within seven days, return the goods to the seller or take another similar goods of the same value in exchange for such goods or receive a refund of the amount paid by him/her when purchasing such goods. (2) While returning goods pursuant to subsection (1), the seller shall not deduct from the price or charge any other kind of additional fee. (3) While returning goods pursuant to subsection (1), the bill or receipt given by the seller at the time of purchasing such goods must be shown. (4) Notwithstanding anything contained in subsection (1), goods shall not be returned or exchanged in the following circumstances: (a) If the purchaser has altered the quality or quantity of such goods after purchase, (b) If the goods are of a nature that must be consumed within a certain period and such period has expired, (c) If the goods are of a perishable nature such as milk, fruits, vegetables, fish, meat, etc., that will rot or spoil if not consumed immediately, (d) If the purchased goods have been used, (e) If the goods are sealed and the seal has been broken. (5) Notwithstanding anything contained elsewhere in this section, in the case of sealed goods, if the seal is not broken, such goods may be returned within fifteen days or another similar goods of the same value may be taken in exchange. 15. Bill or Invoice Required to be Kept: (1) Importers, transporters, warehousers, and sellers shall keep with them the production or purchase bill or invoice of goods or services purchased for the purpose of sale. (2) The bill or invoice pursuant to subsection (1) shall be provided when requested by the relevant officer. Chapter-4 Prohibited Acts 16.

Not to Engage in Unfair Trade or Business Practices: (1) No person shall engage in or cause to engage in unfair trade or business practices. (2) If any person does any of the following acts for the purpose of subsection (1), it shall be deemed to have engaged in an unfair trade or business practice: (a) Selling or providing goods or services by concealing, hiding, or deceiving the actual quality, quantity, price, weight/measure, design, or composition etc., (b) Making false or misleading advertisements or selling goods by making misleading advertisements, (c) Doing any of the following acts orally, in writing, or visually in respect of goods or services: (1) Selling inferior goods by displaying them as having a specific or quality standard, quality, quantity, grade, composition, design, (2) Selling re-manufactured or old goods by showing or deceiving them as new, (3) Disseminating false and misleading advertisements or notices when selling goods or services even in situations where no declared benefits exist, (4) Claiming, guaranteeing, or selling any goods based on the consumption or use of such goods without factual basis. (d) Determining prices in a manner that burdens the consumer on a basis different from the actual cost of any goods or services, or determining prices by including the cost of any competition, lottery, opportunity, etc., or selling at such price, (e) Determining prices by including the cost of donations, rewards, or other free goods in the price of any goods or services, or selling such goods or services at such price, (f) Producing, mixing, supplying, transporting, storing, or selling any goods or services in a manner that falls below or exceeds the prescribed quality or standard, or causes loss or damage to the consumer from consuming such goods or services, (g) Creating artificial shortages of any goods, hoarding, or selling, (h) Selling goods by including in the cost price of other goods the price of goods destroyed from defective products or the price of goods contracted in the course of commercial transactions, (i) Producing or importing counterfeit goods to displace any goods, or selling such goods, (j) Refusing to issue a bill or invoice for goods or services sold, or not issuing a bill or invoice, or demanding additional money when issuing a bill or invoice, (k) Using pesticides or any chemicals in a manner that causes harm, loss, or damage to the consumer when consuming any goods, or selling goods used in such a manner, (l) Selling consumable goods whose consumption period has expired or goods unfit for consumption by affixing a new label on them, (m) Importing, producing, or selling substandard goods that are unfit for consumption, (n) A business service provider providing services without mentioning the price, quality, place of service delivery, and time of service, (o) Selling by collusion between producers, importers, transporters, warehousemen, or sellers or such persons and other persons, associations, or organizations in a manner contrary to subsection (1) of Section 17, (p) Selling or providing any goods or services by creating a level or chain higher than the prescribed trade level, (q) Selling any goods or services without meeting the prescribed structure, standard, or criteria, if any.

17. Not to Adversely Affect Demand, Supply, or Price: (1) No person shall sell, distribute, or be amended by the Act to amend some Nepal Acts to make them in conformity with the Constitution of Nepal, 2075. transport any goods by taking a profit higher than the cost incurred in the production, import, transportation, storage, or sale and distribution of any goods and the prescribed amount.

(2) No person shall, in collusion with any person, entity, or others, do any of the following acts to adversely affect the demand, supply, or price of any goods or services:

(a) Determining quotas of raw materials required for the production of any goods, reducing production of any goods, or doing any other similar act,

(b) Hoarding any goods or services or creating artificial shortages in any other manner,

(c) Selling goods or services only at a specified time or place, or doing any other act of a similar nature. 18.

Other Acts Not to be Done in Relation to Goods or Services: No person shall do or cause to do any of the

following acts in relation to any goods or services:

- (a) Knowingly producing, selling, or importing inferior goods,
- (b) Selling any goods or services by deceiving or misrepresenting them as another goods or services, or selling low-level goods or services as high-level goods or services,
- (c) Producing or selling goods or services that adversely affect the health of the consumer,
- (d) Producing, importing, or selling various goods of the same nature, or creating shortages of such goods and affecting the price and supply system through collusion of traders or trade groups,
- (e) Operating services by adopting a rotation system, quota system, turn-by-turn system, batch system, or token system through collusion of more than one trader or trade group providing services of the same nature,
- (f) Making arrangements that require the purchase of another goods when purchasing one goods. Chapter-5

Provisions Relating to Pricing of Goods or Services

19. List of Essential Food and Other Goods and Services: (1) The Government of Nepal shall, by publishing a notice in the Nepal Gazette, determine from time to time a list of essential food and other goods or services.

(2) The maximum price of essential food and other goods or services shall also be fixed in the list pursuant to subsection (1).

(3) While selling goods or services pursuant to subsection (1), the seller shall not sell or cause to sell at a price higher than the price pursuant to subsection (2). 20.

Price List and Registration Certificate Required to be Kept: (1) The producer shall clearly mention the factory price of each goods, the seller shall clearly mention the wholesale or retail price of each goods sold or distributed, and the service provider shall clearly mention the price of the service provided, and maintain a price list accordingly. (2) In the case of an industry producing goods, the certificate of industry registration, and in the case of a business, the business registration, license shall be kept at the sales site in a manner visible to the general public. (3) The Government of Nepal may establish price information centers as prescribed by publishing a notice in the Nepal Gazette. (4) The producer located in the concerned district shall mandatorily provide the factory price of goods, and the wholesale or retail trader shall mandatorily provide the wholesale or retail price of the concerned goods to the price information center established pursuant to subsection (3). 21. Arrangement for Determining Price Criteria of Goods or Services: (1) For the protection of consumer rights, the body as prescribed shall prepare the criteria relating to the pricing of goods or services as prescribed. (2) While preparing the criteria relating to pricing pursuant to subsection (1), the production cost of goods, transportation expenses, customs duties, taxes, fees paid by the importer according to law, and the profit amount that the seller may take not exceeding the prescribed percentage while selling goods, shall be taken as the basis. (3) While preparing the criteria relating to pricing of any service by the prescribed body pursuant to subsection (1), if any body or officer is designated according to the law regulating the person providing such service or managing the conduct and functions, the criteria shall be prepared according to the criteria determined by such body or officer. (4) If the body or officer pursuant to subsection (3) is designated but has not determined the criteria, consultation with such body or officer shall be taken while preparing the criteria. (5) While preparing the criteria relating to pricing pursuant to subsection (1) or (3), the maximum price chargeable for providing such goods or services may be determined differently based on the geographical area, nature of service, and specific location. Chapter-6 Consumer Protection

Council 22.

Formation of Consumer Protection Council: (1) A Consumer Protection Council shall be formed for making policies on the protection and enforcement of consumer rights and for doing other functions under this Act. (2) The Council pursuant to subsection (1) shall consist of the following Chairperson and members: (a) Minister for Industry, Commerce and Supplies - Chairperson (b) Secretary, Ministry of Industry, Commerce and Supplies - Member (c) Secretary, Ministry of Agriculture and Livestock Development - Member (d) Secretary, Ministry of Land Management, Cooperatives and Poverty Alleviation - Member (e) Secretary, Ministry of Finance - Member (f) Secretary, Ministry of Home Affairs - Member (g) Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (h) Secretary, Ministry of Health and Population - Member (i) President, Federation of Nepalese Chambers of Commerce and Industry - Member (j) President, Nepal Chamber of Commerce - Member (k) President, Confederation of Nepalese Industries - Member (l) President, Nepal National Federation of Industrialists and Businessmen - Member (m) Two persons, including at least one woman, nominated by the Ministry from among persons who have obtained at least five years of experience in bodies or organizations related to consumer rights and interests - Member (n) Director General, Department - Member Secretary (3) The term of office of a nominated member pursuant to clause (d) of subsection (2) shall be two years, and he/she may be re-nominated for one term. (4) Notwithstanding anything contained in subsection (3), if such member does any act against the rights and interests of consumers or does any act contrary to the functions, duties, and powers of the Council, the Ministry may remove such member from office at any time. (5) Before removal pursuant to subsection (4), he/she shall be given a reasonable opportunity to present a defense. (6) The Chairperson and members of the Council shall receive meeting allowance and facilities as prescribed by the Government of Nepal. 23.

Meeting of the Council: (1) The meeting of the Council shall be held on the date, time, and place specified by the Chairperson. (2) The meeting of the Council shall be held at least twice a year, and the interval between two meetings shall not exceed six months. (3) If more than at least fifty percent of the total number of members of the Council are present, the meeting of the Council shall be deemed to have a quorum. (4) The Chairperson of the Council shall preside over the meeting, and in his/her absence, a member chosen from among the members shall preside over the meeting. (5) Experts and scientists from various fields and communities may be invited to the meeting as required. (6) The decision of the Council shall be certified by the Member Secretary of the Council. (7) Other procedures relating to the meeting of the Council shall be as determined by the Council itself. (8) The Department shall function as the Secretariat of the Council. 24.

Functions, Duties, and Powers of the Council: The functions, duties, and powers of the Council shall be as follows: (a) Determine policies on matters relating to the protection and exercise of consumer rights, supply management, and pricing and quality of goods or services and submit them to the Government of Nepal, (b) Give necessary suggestions to the Government of Nepal regarding the amendment, modification of existing policies relating to consumer rights protection, or the formulation of new policies if required, (c) Disseminate or cause to disseminate information on consumer rights and interests to inform consumers about goods or services, (d) Inform or cause to inform consumers about the price, quality, quantity, purity of goods or services and unfair trade practices, (e) Make necessary policy arrangements to include consumer education in the curriculum from secondary level to university level, (f) Formulate necessary policies to cooperate with national and international associations or organizations related to consumer rights, (g) Give directives to the provincial government or local level as necessary to protect and promote consumer rights, (h) Perform other functions as prescribed. Chapter-7 Provisions Relating to Inspection, Examination, and Monitoring 25.

Central Market Monitoring Committee: (1) A Central Market Monitoring Committee shall be formed to

coordinate among bodies involved in monitoring or supervising the supply system, price, quality, and purity of goods or services for the protection of consumer rights and interests under this Act. (2) The Central Market Monitoring Committee pursuant to subsection (1) shall consist of the following members: (a) Secretary, Ministry of Industry, Commerce and Supplies - Coordinator (b) Joint Secretary, Ministry of Industry, Commerce and Supplies (looking after supplies) - Member (c) Joint Secretary, Ministry of Home Affairs - Member (d) Secretary, Ministry of Agriculture and Livestock Development - Member (e) Secretary, Ministry of Land Management, Cooperatives and Poverty Alleviation - Member (f) Director General, Department of Food Technology and Quality Control - Member (g) Director General, Nepal Bureau of Standards and Metrology - Member (h) Director General, Department of Drug Administration - Member (i) Director General, Department - Member Secretary (3) The procedure relating to the meeting of the Central Market Monitoring Committee shall be as prescribed. 26. Functions, Duties, and Powers of the Central Market Monitoring Committee: The functions, duties, and powers of the Central Market Monitoring Committee shall be as follows: (a) Identify shortages of goods or services seen in the market and take necessary initiatives to make them easily available, (b) Monitor and supervise the supply system, price, weight, quality, purity, etc. of goods or services in the market, (c) Recommend the operational procedure for market monitoring, the monitoring team, and the code of conduct for consumer associations and organizations, (d) Maintain coordination in the functions of market monitoring teams and local monitoring committees, (e) Give necessary directives to bodies protecting consumer rights and interests and enforcing the law to make market monitoring effective, (f) Establish a consumer information center, (g) Form committees or sub-committees as required, (h) Perform other functions as prescribed. 27. Provincial Market Monitoring Committee: (1) The provincial government may, by publishing a notice in the provincial gazette, form a Provincial Market Monitoring Committee to make necessary arrangements for the protection of consumer rights and interests and to supervise and monitor matters relating to the supply system, price, quality, and purity of goods or services. (2) The Provincial Market Monitoring Committee pursuant to subsection (1) may form monitoring teams or sub-committees as required. (3) The functions, duties, and powers of the Provincial Market Monitoring Committee pursuant to subsection (1) shall be as prescribed. (4) Other provisions relating to the functions and proceedings of the Provincial Market Monitoring Committee pursuant to subsection (1) shall be as per the rules made by the provincial government. 28.

Local Market Monitoring Committee: (1) The concerned Village Executive or Municipal Executive may form a Local Market Monitoring Committee to conduct on-site supervision and monitoring of the market on matters relating to the supply system, price, quality, and purity of goods or services for the protection of consumer rights under this Act. (2) The committee pursuant to subsection (1) shall include the required number of representatives from bodies under the local level as well as consumers. (3) The functions, duties, powers, procedures, and other necessary matters of the Local Market Monitoring Committee formed pursuant to subsection (1) shall be as prescribed. (4) The Local Market Monitoring Committee formed pursuant to subsection (1) may form market monitoring teams or sub-committees as required. 29. Market Monitoring Team May Be Formed: (1) A market monitoring team, thematic monitoring team, or joint monitoring team, consisting of experts in the relevant field and an inspector, may be formed as prescribed to regularly monitor and inspect the market regarding whether unfair trade practices under Section 16 have occurred or not, whether a price list under Section 20 has been kept or not, and the quality, quantity, or price of goods or services. (2) The market monitoring team pursuant to subsection (1) may obtain information or make inquiries regarding the quality, quantity, or pricing process of any goods or services. (3) The market monitoring team pursuant to subsection (1) may, while obtaining information or in the course of inquiry pursuant to subsection (2), ask the relevant producer or seller for necessary documents and evidence, and it shall be the duty of the

relevant producer or seller to submit such documents or evidence. (4) The market monitoring team pursuant to subsection (1) may exercise all powers vested in an Inspector under this Act. (5) The monitoring team pursuant to subsection (1) shall use the prescribed market monitoring and inspection form while conducting market monitoring and inspection. 30.

May Conduct Inquiry or Inspection: (1) If there is a reasonable cause to believe that any person is engaging in unfair trade or business practices, is affecting the price or supply system of goods or services by establishing a monopoly in the market or in any other manner, or is producing or selling or distributing inferior goods, or is doing any act contrary to this Act or the Rules made under this Act, or if information regarding such matters is received through any communication medium, any complaint, or any monitoring body, the Ministry or Department may immediately conduct or cause to conduct a necessary inquiry or inspection in relation thereto. (2) Regarding the inspection or inquiry pursuant to subsection (1), if there is a provision for monitoring and inspection in the prevailing law, it shall be done accordingly, and in other cases, the Ministry may immediately form an inspection or inquiry committee or designate any committee formed under this Act or an Inspector. (3) Producers, dealers, agents, sellers, persons, or entities found guilty from the inquiry or inspection pursuant to subsection (1) shall be proceeded against according to this Act or the prevailing law. (4) If the committee or Inspector designated pursuant to subsection (2) finds, while conducting inspection or inquiry, that such act does not fall under this Act, the file of the inquiry or inspection shall be sent to the relevant body for necessary action, and such body shall also inform the body that sent the letter about the action taken in that regard. 31. **May Conduct Surprise Inspection:** (1) The Department may conduct a surprise inspection of the market for the protection of consumer rights and interests. (2) Other provisions relating to surprise inspection shall be as prescribed. 32.

May Appoint or Designate Inspector: (1) To monitor the (?) If an unfair trade practice under clause (b), (c), (d), (e), (f), (g), (j), (?), (?), (?h), (t), or (th) of sub-section (2) of Section 16 is committed or caused to be committed, (?) If an act under clause (a) of sub-section (1) or sub-section (2) of Section 17 that adversely affects demand, supply, or price is committed or caused to be committed, (?) If an act under clause (b) or (c) of sub-section (2) of Section 17 is committed or caused to be committed, (?) If an act contrary to Section 18 is committed or caused to be committed, (?) If goods are sold or caused to be sold at a price higher than that fixed by the Government of Nepal contrary to sub-section (3) of Section 19, (?) If an act under sub-section (1) or (2) of Section 20 is not performed, (?) If goods or services are sold or distributed contrary to the standards determined under sub-section (1) of Section 21, (?) If assistance is not provided during inquiry, inspection, or monitoring under this Act as per sub-section (2) of Section 54. ??.

Power to impose immediate fine: (1) Notwithstanding anything contained in Section 38, if, during market monitoring, inspection, inquiry, or search, it appears from evidence obtained immediately that the producer, transporter, storer, importer, seller, or service provider of goods has committed any of the following offenses, the Inspection Officer may immediately impose a fine as follows:

(a) For committing or causing to commit an offense under clause (gha) of Section 38, a fine of between five thousand and twenty thousand rupees,

(b) For committing or causing to commit an offense under clause (?a) of Section 38, a fine of between two hundred thousand and three hundred thousand rupees,

(c) For committing or causing to commit an offense under clause (ja) of Section 38, a fine of between fifty thousand and one hundred thousand rupees,

(d) For committing or causing to commit an offense under clause (?a) of Section 38, a fine of between fifty thousand and one hundred thousand rupees,

(e) For committing an offense under clause (?a) of Section 38, a fine of up to twenty thousand rupees.

(2) If an offense under sub-section (1) is repeated, the fine shall be doubled each time.

(3) The Inspection Officer shall, within three days, notify the Department of all details including the reasons for imposing an immediate fine under this section and the amount so fined.

(4) If the producer, transporter, storer, importer, or seller of such goods fails to pay or deposit the fine within seven days from the date of the decision to impose an immediate fine under sub-section (1), the Inspection Officer may take the following actions:

(a) Seal and retain such goods until the amount of the fine is paid or deposited,

(b) Attach other goods produced, transported, stored, imported, or sold by such producer, transporter, storer, importer, or seller until the amount of the fine is paid or deposited.

(5) If any person is aggrieved by an action taken by the Inspection Officer under this section, he/she may file a petition for review before the Director General of the Department within seven days.

(6) Upon receipt of a petition for review against a decision of the Inspection Officer under sub-section (5), the Director General of the Department shall, after making such inquiry as he/she deems necessary, decide on the matter within twenty-one days.

(7) When filing a petition for review, fifty percent of the fine imposed by the Inspection Officer must be deposited as cash security.

(8) The decision of the Director General of the Department on the petition for review shall be final.

(9) Other procedures to be followed by the Inspection Officer in relation to imposing an immediate fine shall be as prescribed.

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Penalty: (1) If any person commits or causes to commit any act deemed to be an offense under this Act as follows, the Director General of the Department may, considering the gravity of the offense, impose a penalty as follows:

(a) For committing or causing to commit an offense under clauses (ka) and (ga) of Section 38, imprisonment for three to six months or a fine of up to fifty thousand rupees or both,

(b) For committing an offense under clause (jha) of Section 38, imprisonment for three months to one year or a fine of one hundred thousand to three hundred thousand rupees or both,

(c) For committing an offense under clauses (ja) and (?ha) of Section 38, imprisonment for three to six months or a fine of fifty thousand to one hundred thousand rupees or both.

(2) A party aggrieved by a decision of the Director General of the Department under sub-section (1) may appeal to the relevant District Court within thirty-five days.

(3) The following offenses shall be punishable with the following penalties:

(a) A person who commits or causes to commit an offense under clause (kha) of Section 38 shall be liable to imprisonment for two to three years or a fine of three hundred thousand to five hundred thousand rupees or both,

(b) A person who commits or causes to commit an offense under clause (cha) of Section 38 shall be liable to imprisonment for two to five years or a fine of four hundred thousand to six hundred thousand rupees or both,

(c) A person who commits or causes to commit an offense under clause (chha) of Section 38 shall be liable to imprisonment for two to three years or a fine of three hundred thousand to five hundred thousand rupees or both.

(4) Added by the Some Nepal Acts Amendment Act, 2075 to make compatible with the Constitution of Nepal. A person who commits or causes to commit any act contrary to this Act or the rules made under this Act, other than the acts under sub-section (1) or sub-section (3), shall be liable to imprisonment for up to two years or a fine of up to three hundred thousand rupees or both. Chapter-9

Provisions Relating to Consumer Court

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Constitution of Consumer Court: (1) For the purpose of conducting proceedings and adjudicating cases other than those under sub-section (1) of Section 40 of this Act, the Government of Nepal may, by publishing a notice in the Nepal Gazette, constitute a Consumer Court as required. (2) The venue and jurisdiction of the Consumer Court constituted under sub-section (1) shall be as specified in that notice. (3) The Consumer Court shall consist of a Chairperson and Members as follows: (a) District Judge of the relevant district appointed by the Government of Nepal ? Chairperson (b) A gazetted second class officer of the Nepal Judicial Service appointed by the Government of Nepal ? Member (c) A gazetted second class officer of the Government of Nepal appointed by the Government of Nepal ? Member (4) The Government of Nepal shall publish in the Nepal Gazette a notice specifying the Chairperson or Members under sub-section (3). (5) Before appointing a District Judge as Chairperson of the Court under sub-section (3), the Government of Nepal shall consult the Judicial Council, and before appointing an officer of the Nepal Judicial Service as a Member of the Court, it shall consult the Judicial Service Commission. ??.

Exercise of jurisdiction of the Court: (1) The jurisdiction of the Court shall be exercised jointly by all Members. Provided that, a bench consisting of at least one Member may conduct procedural proceedings other than preliminary hearing, and a bench consisting of two Members may conduct any proceedings including preliminary hearing. (2) If a bench consisting of two Members fails to reach unanimity, the opinion of the Chairperson shall prevail in matters of case proceedings if a bench including the Chairperson is constituted. (3) In a bench where the Chairperson is not present, the opinion of the senior Member based on appointment shall prevail.

If it is a decision or final order of the case, it shall be presented before the Chairperson, and the opinion supported by him/her shall be the decision of the Court.

(4) In a bench where three Members are present, if there is a unanimous opinion of the three Members or a majority opinion of the Chairperson and another Member, such opinion shall be deemed to be the decision of the Court.

(5) If in a bench under sub-section (4) there are differing opinions of the three Members on a procedural matter of the case, the opinion of the Chairperson shall prevail, and if it is a decision or final order of the case, it shall be sent to the relevant High Court for decision, stating that the decision or final order could not be

reached.

(6) The case received under sub-section (5) shall be heard by a single judge bench of the High Court, and the decision or final order of such bench shall be deemed to be the decision or final order of the Court.

???. Contempt of Court: (1) The Court may initiate proceedings for its contempt, and if found guilty of contempt, may impose a fine of up to ten thousand rupees or imprisonment for up to one year or both.

(2) Notwithstanding anything contained in sub-section (1), if the accused tenders an apology satisfactory to the Court, the Court may pardon him/her without initiating contempt proceedings, or if a sentence has already been imposed, remit, reduce, or suspend such sentence on conditions as determined by the Court.

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Obligation to provide case files or documents: (1) If the Court or the Director General of the Department orders any person, entity, or office to submit or send any case file, document, paper, or other evidence for the purpose of evidence in the course of case proceedings, such person, entity, or office shall submit or send such case file, document, paper, or evidence within the period determined by the Court or the Director General of the Department.

(2) If the conduct of proceedings, hearing, or adjudication of a case is obstructed due to non-compliance with an order under sub-section (1) by any person, entity, or office, or if any party suffers undue harassment or loss or damage, the Court or the Director General of the Department may impose a fine of up to one thousand rupees each time on such person, entity, or head of office.

(3) Notwithstanding anything contained in sub-section (2), if after an order imposing such fine, such person, entity, or head of office, within the period determined by the Court or the Director General of the Department, files a petition before the Court or the Director General stating the reason for non-compliance of such order and that the fine should not be imposed, and if the content of the petition appears reasonable, the Court or the Director General of the Department may cancel such order of fine.

???. Appeal: An appeal against a decision of the Court under this Act may be filed in the relevant High Court within thirty days.

???. Execution of decision: If a decision or final order of the Court under this Act specifies that an agency or official shall execute it, that agency or official shall execute it; if not so specified, the relevant District Court shall execute it.

???. Dissolution of Court: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, dissolve the Court at any time.

(2) If the Court is dissolved under sub-section (1), all cases, complaints, or petitions pending in such Court at the time of dissolution shall automatically transfer to the District Court having relevant territorial jurisdiction.

???. Special provision relating to case proceedings and adjudication: Notwithstanding anything contained in Section 41, until a Court is constituted under that section, the relevant District Court shall have the authority to conduct proceedings, hear, and adjudicate cases under this Act.

???. Obligation to table notice: The notice published by the Government of Nepal under sub-section (1) of Section 41 or sub-section (1) of Section 47 shall be tabled in the House of Representatives. Chapter-10

Provisions Relating to Compensation

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Right to claim compensation: If any consumer suffers physical, mental, financial, material, or any other kind of loss or damage due to the sale, distribution, or provision of goods or services contrary to this Act, or if damage occurs due to defective production of goods, the consumer himself/herself, or any consumer organization on his/her behalf, or if the consumer is incapacitated or has died, the legal heir of such consumer may file a complaint before the Court for compensation from the person who produced, imported, stored, transported, sold, distributed, or provided such goods or services and by whose act such loss or damage was caused, within six months from the date of such loss or damage. ??.

Obligation to provide compensation: If a person is injured due to the sale, distribution, or provision of goods or services contrary to this Act, he/she shall be entitled to medical expenses, interim relief amount necessary for daily subsistence according to family status during the treatment period, and if, upon investigation of the complaint for compensation, it is found that the consumer suffered loss or damage, the consumer, or if he/she has died, the legal heir according to law, shall receive an amount as compensation from the relevant producer, importer, storer, transporter, distributor, or seller based on such loss or damage. ??.

Determination of criteria for compensation: (1) While determining the amount of compensation to be received by a consumer under Section 51, the Court shall consider the following: (a) Physical or mental suffering or pain caused to the victim and its severity, (b) Estimated cost of treatment if the damage is curable, (c) Diminution in the victim's earning capacity due to physical or mental damage, (d) Age of the victim and his/her family responsibilities if physical or mental damage is incurable, (e) If the victim died, the number of family members dependent on his/her income and the minimum expenses necessary for their livelihood, (f) Other matters appearing reasonable and appropriate among those claimed by the victim, (g) Financial and business condition of the producer, importer, storer, seller, and service provider. (2) Other provisions relating to determination of compensation under sub-section (1) shall be as prescribed.

Chapter-11 Miscellaneous ??.

Making essential goods or services available at fair price: The Government of Nepal may make arrangements to make essential food or other goods or services determined under Section 19 available at a fair price as prescribed. ??.

Obligation to provide assistance: (1) If the Department seeks the assistance of the local administration or police in the course of implementing this Act, it shall be the duty of the local administration and police to provide such assistance. (2) In the course of inquiry, monitoring, or inspection under this Act, it shall be the duty of all concerned to provide necessary assistance to the officer conducting such inquiry, monitoring, or inspection, or to the person, team, or Inspection Officer deployed under this Act. ??.

Liability of entity: (1) If any commercial entity commits any act that is an offense under this Act, the responsibility and liability for such act shall lie with the officer working as the chief administrative officer of such entity. (2) Notwithstanding anything contained in sub-section (1), such person shall not be liable for punishment for offenses committed before he/she became the chief administrative officer. ??.

Reward to informant: (1) After the final adjudication of a case filed upon investigation based on information provided by a person who gives information that an offense under this Act has been or is about to be committed, such person shall be awarded ten percent of the amount of the fine or penalty recovered, or ten lakh rupees, whichever is less. (2) Notwithstanding anything contained in sub-section (1), an employee of the Government of Nepal or a corporate body, or a family member of such employee, or a representative or employee of a consumer association or organization deployed for monitoring, or a family member of such representative or employee, shall not be entitled to receive a reward under this section. (3) The name, address, and details of information received from the person giving information under this section shall be kept confidential. ??.

Bar to prosecution under prevailing law not affected: If an act deemed to be an offense under this Act is also deemed to be an offense under any other prevailing law, this Act shall not be deemed to bar prosecution under such other law. ??.

Government of

Nepal as plaintiff: In a case under this Act, the Government of Nepal shall be the plaintiff. ??.

Investigation and filing of case: (1) Investigation of a case relating to an offense under this Act shall be conducted by the Inspection Officer. (2) After the completion of investigation under sub-section (1), the Inspection Officer shall submit the matter to the relevant government attorney for a decision on whether to file a case or not, and if the government attorney decides to file a case, the Inspection Officer shall file the case. (3) While filing a case under sub-section (1), the Inspection Officer shall file the case before the Director General of the Department in the case of an offense punishable under sub-section (1) of Section 40, and before the Court if constituted, or before the relevant District Court if no Court is constituted, in the case of an offense punishable under sub-section (3) of Section 40. ??.

Summary procedure to be adopted: (1) While conducting proceedings and adjudicating a case filed under this Act, the procedure under the Summary Procedure Act, 2028 shall be adopted. (2) Notwithstanding anything contained in sub-section (1), in cases punishable with imprisonment of more than three years, ordinary procedure shall be adopted. ??.

Protection of acts done in good faith: The Consumer Protection Council, Central Monitoring Committee, Local Market Monitoring Committee, Inspection Officer, or any employee of the Government of Nepal, Provincial Government, or Local Level shall not be personally liable for any act done in good faith in the discharge of his/her duties under this Act or the rules made under this Act. ??.

Matters to be governed by this Act: Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by the prevailing law. ??.

Power to make rules: (1) The Government of Nepal may make necessary rules for the implementation of this Act. (2) The Provincial Government may make necessary rules to make market monitoring related functions under Section 27 systematic and effective. ??.

Power to frame and implement directives, procedures, or standards: (1) The Ministry may, as required, frame and implement directives, procedures, or standards for the implementation of this Act and the rules made by the Government of Nepal under this Act. (2) The relevant Rural Municipality or Municipality may, as required, frame and implement necessary directives or procedures to make market monitoring related functions under Section 28 systematic and effective. ??.

Repeal and saving: (1) The Consumer Protection Act, 2054 is hereby repealed. (2) All acts done under the Act referred to in sub-section (1) shall be deemed to have been done under this Act.